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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Higher Highs, Higher Lows

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Last Week's S&P 500 Index: +0.02%

Key takeaways

- *The S&P 500 has climbed up just over 9% higher than the early April lows in a grinding, persistent and stair-step fashion.*
- *From a technical standpoint, this rally has featured a series of higher highs and higher lows, which many traders view as a positive.*

Ahhh, the dog days of summer. Sparingly manned trading desks, low daily volumes, and quiet markets … right? Well, usually, but that isn't always the case. When you look at S&P 500 monthly performance on a percentage basis going back to 1950, the Stock Trader's Almanac shows that July is tied for the fifth-best month of the year with an average gain of 1%. Of course, the true dog days include the month of August in this strategist's opinion, and the results there are not pretty; the average return over that long time period shows a loss of 0.1%.

But the S&P 500's performance so far in July has been good (up more than 3.3%), and the index is up nearly 9% from the early-April retest of the February low. Recall the quick 10% early-February tumble that came on the heels of the January employment report that showed average hourly earnings rising at a faster rate than investors expected. And given that compensation is typically the biggest expense for any firm, the market is laser-focused on anything that might cut into the current high level of corporate profit margins.

In addition to concerns over wage pressure and what the Federal Reserve might want to do about it, much of the balance of February as well as March and early April were spent wondering if the U.S. was on the verge of entering into a trade war with many, if not all, of our major trading partners. And all of that was going on as the price of crude oil climbed north of $70 per barrel, sparking fears that consumers would be spending all of their tax cut money on gasoline instead of new furniture and vacations to Disney World.

However, those concerns have not stopped the S&P 500 from its grinding, persistent climb higher over the past three and a half months. As of this writing, the index stands just inside the lower boundary of our year-end 2800-2900 target range. Stocks have not worked their way higher in a straight line but in more of a stair-step fashion—two or three steps up and then one step back. Market technicians, or chart readers if you prefer, like this type of price action. And just for full disclosure, this strategist made his living from the mid-1980s to the late-1990s waging daily battles in the global currency markets as a market maker and options trader relying largely on technicals (yes, those lines on graph paper) to pick entry and exit points.

So the advance we have seen of late has featured a favored and what many would consider a dependably positive technical pattern. The S&P 500 has posted a series of higher highs and higher lows as the market has advanced. In other words, during this period, the index has traded above or broken through the most recent high (two or three steps forward) and then during the ensuing temporary stumble (one step back) it has stayed above the level of the previous pullback. The result has been a market that has deceptively and rather quietly climbed into the range we have been looking for but earlier than we thought it might occur. The economic fundamentals remain good. Stocks are not cheap but likewise are not overvalued. The technicals continue to line up nicely. Stay invested.

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